

SL Green and Mori Building Double Down on Office Development at 346 Madison

\$175 m

Transaction value

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The numbers tell the story

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Transaction value

\$160 m

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\$15 m

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The deal values the 850,000-square-foot project at \$175 million. SL Green bought the site for \$160 million last year. That \$15 million markup over twelve months is not a flip. It is a signal: institutional capital sees a path to rent growth in the highest-quality office product, even as the broader market struggles with vacancy and repricing.

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Mori Building is not a passive capital source. It bought an 11 percent stake in One Vanderbilt in 2024 at a \$4.7 billion valuation. It also took a stake in 245 Park Avenue at a \$2 billion valuation. Those are not distressed prices. Those are bets on the top decile of office assets-the buildings that command rents above \$150 per square foot and attract tenants consolidating from lower-tier space.

SL Green's 346 Madison will be its first ground-up office development

SL Green's 346 Madison will be its first ground-up office development since One Vanderbilt opened in 2021. That timing matters. One Vanderbilt leased up rapidly in a market where most office towers sat empty. The lesson: supply of truly modern, amenitized, column-free office space is structurally constrained. Zoning, construction costs, and financing terms have made new development prohibitive for all but the strongest...

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The project's specifications confirm the thesis. Forty-six stories. Column-free floorplates. Nine terrace floors. A two-floor amenity space with a 215-seat auditorium and a tenant lounge run by chef Daniel Boulud. This is not a commodity building. It is a product designed for the tenant that demands the highest-quality, best-located, and most thoughtfully designed space-Holliday's own words.

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Mori Building's capital comes at a critical moment. Construction financing for office projects remains scarce. Regional banks have pulled back. CMBS lenders are selective. Life companies prefer existing cash-flowing assets. A joint venture with a deep-pocketed, long-duration partner like Mori reduces SL Green's equity requirement and spreads risk across a proven relationship.

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The \$175 million valuation implies a land basis of roughly \$206 per buildable square foot. That is below recent trades for prime Manhattan development sites, but above what a generic office site would command. The discount reflects the market's skepticism toward office development generally. The premium reflects the specific attributes of this site and sponsor.

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Holliday's statement that now is "the perfect time" to develop is not marketing fluff. It is a calculated bet that the supply-demand imbalance for trophy office will widen over the next three to five years.

Construction starts in Manhattan have fallen to near-zero for speculative office towers. The buildings that break ground today will face minimal competition at delivery.

The broader implication is clear: the bifurcation in office real estate

The broader implication is clear: the bifurcation in office real estate is accelerating. Capital is flowing to the top 10 percent of assets-those with the location, design, and sponsorship to command premium rents. The rest face a capital drought. Mori Building's repeat investment in SL Green's pipeline is a vote for that thesis, not a bet on the office market broadly.

For institutional investors, the question is not whether office is dead.

For institutional investors, the question is not whether office is dead. It is whether your office is in the top decile. SL Green and Mori Building are betting that 346 Madison Avenue will be. The market will find out at delivery, likely in 2029 or 2030. By then, the supply of new trophy office will be measured in single digits of buildings. That is the bet.

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The headline is the transaction. The story is the structure.

If the capital stack works, the deal becomes a signal. If it does not, it becomes a warning.

LIGHT TOWER GROUP